

Credit Policy — SME Working Capital & Term Loan Guidelines

1. Borrower Eligibility

Micro, Small, and Medium Enterprises (MSMEs) with a minimum operating track record of 3 years, audited balance sheets, and a Minimum Debt Service Coverage Ratio (DSCR) of 1.35x.

2. Collateral & Security

Primary security: Hypothecation of stocks, receivables, and plant/machinery. Collateral coverage ratio must be at least 125% of loan exposure for unassisted loans.

3. Financial Covenants

Minimum Current Ratio of 1.25x and Maximum Total Outside Liabilities to Tangible Net Worth (TOL/TNW) of 3.0x must be maintained throughout the tenure.